

EBA Finalizes Updated Pillar 3 ESG Disclosure Standards: What Banks Need to Know

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What Happened

On June 22, 2026, the European Banking Authority (EBA) finalized its draft Implementing Technical Standards (ITS) updating Pillar 3 disclosure requirements on ESG risks for banks. The new ITS represents a significant overhaul: it simplifies and streamlines reporting for large institutions—reducing datapoints by 37%—while extending ESG disclosure requirements to smaller institutions for the first time in a proportionate manner. Small and non-complex institutions (SNCIs) will report 84% fewer datapoints than large ones (269 vs. 1,648).

The changes follow the EU's Omnibus I simplification package and the 2024 Banking Package (CRR3). Notably, the ITS eliminates Green Asset Ratio (GAR) disclosures and EU Taxonomy alignment reporting for large banks due to the Omnibus process. The draft has been submitted to the EU Commission for adoption.

Why It Matters

This update marks a pivotal shift in **ESG disclosure banks** must navigate. For the first time, all institutions—including smaller ones—must disclose ESG risks. Large banks must report on environmental, social, governance, climate transition, and physical risks, while SNCIs provide qualitative information and simplified quantitative data. The ITS also requires disclosure of fossil fuel exposures and integration of ESG risks into strategy and governance.

The **EBA ITS ESG** framework introduces a three-tiered structure:

Tier 1 (Large institutions): Comprehensive quantitative and qualitative disclosures on all ESG risk categories, including climate transition and physical risk metrics.

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Tier 3 (SNCI)s: Primarily qualitative disclosures with limited quantitative data, focusing on

Pillar 3 disclosures on equity exposures and shadow banking, as part of a coordinated push to reduce regulatory burden while enhancing transparency.

What Organizations Should Do

Assess your institution's classification (large, other, or SNCI) to determine applicable datapoint requirements and timelines.

Establish ESG data collection processes for fossil fuel exposures, climate metrics, and governance integration—even for SNCI.s.

Update Pillar 3 disclosure templates to align with the new ITS structure, eliminating GAR and Taxonomy tables as applicable.

Monitor EU Commission adoption and national transposition timelines to ensure timely compliance.

Leverage technology to automate data aggregation, validation, and reporting. Platforms like AI GovHub provide regulatory intelligence and compliance workflow tools to track evolving **EBA ESG reporting** requirements and manage disclosures efficiently.

- Related Resources
- EU AI Act Compliance Roadmap
 - Modifying AI Systems Under the EU AI Act
 - Complete Guide to AI Governance

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